

The Bailey Law Firm, PLC v. Julie Stowasser, et al., 25CV-0324

Hearing: Motion to Reconsider Order

Date: June 25, 2026

TENTATIVE RULING

Plaintiff The Bailey Law Firm (Plaintiff) was retained by Defendants Julie Stowasser (Stowasser) and Shawna Scott (collectively Defendants) for legal services related to a dispute with Defendants' neighbor. Following the successful resolution of those issues, Plaintiff sought payment for its services.

In December 2023, Plaintiff informed Defendants that it was owed fees for its services. Plaintiff sent a notice to Defendants concerning their right to demand fee arbitration. The notice also informed Defendants that their right to arbitration would be waived if Defendants did not request arbitration within thirty days. On April 16, 2025, Defendants filed their request to arbitrate.

On May 19, 2025, Plaintiff filed the Complaint in this case alleging damages related to the breach of the contract for legal services.

On August 20, 2025, Plaintiff filed a motion to dismiss the arbitration proceedings on the grounds that the Defendants waived their right to fee arbitration.. The motion came on for hearing on January 22, 2026, and was unopposed.¹

The Court found that Defendants had waived their right to mandatory fee arbitration and no stay on the proceeding was in place. However, the Court denied the motion to dismiss as Plaintiff had cited no authority by which the Court could dismiss the arbitration proceedings.

Plaintiff served notice of the January 22 order on Stowasser on February 24, 2026. On February 26, 2026, Stowasser filed a timely motion to reconsider the order and motion to vacate the order pursuant to Code of Civil Procedure section 473(d). Plaintiff opposes the motion.

Stowasser contends that the Court erred in finding that no stay was in place, that the stay was statutory and attached as a matter of law, and that Business and Professions Code section 6201(c) assigns determination of notice sufficiency and stay validity to the arbitration forum and thus the Court's ruling exceeded its jurisdiction.

For the reasons set forth below, the motion is denied.

¹ Stowasser represents that she did not file an opposition because she did not want to risk waiving her right to arbitrate by participating in this action.

First, Stowasser's motion does not present new facts, circumstances or law that were unavailable at the time the motion to dismiss was ruled upon. (Code Civ. Proc., §1008, subd. (a).)

Second, Stowasser's request is moot. The request for fee arbitration was dismissed in an order dated January 27, 2026. (Bailey Decl., ¶ 5; Ex. B.)

In reply, Stowasser notes that she filed a petition for review and request for stay with the California Supreme Court in April, 2026. Stowasser sought review of the same issues she presents again here, namely whether a superior court may adjudicate waiver of Mandatory Fee Arbitration Act rights and validate service of a statutory arbitration notice after a client has invoked arbitration. The Court takes judicial notice of the docket in her Supreme Court action, case no. S296272,² which reflects that the petition for review and application for stay were denied on May 27, 2026.

Finally, Stowasser has not shown that the order was void and that it should be set aside under Code of Civil Procedure section 473(d).

Business and Professions Code section 6201(c) provided the Court the authority to enter the order. That section states that "[u]pon filing and service of the request for arbitration, the action or other proceeding shall be automatically stayed until the award of the arbitrators is issued or the arbitration is otherwise terminated. **The stay may be vacated in whole or in part, after a hearing duly noticed by any party or the court, if and to the extent the court finds that the matter is not appropriate for arbitration under the provisions of this article.** The action or other proceeding may thereafter proceed subject to the provisions of Section 6204." (*Ibid.*, emphasis added.) A client's failure to request arbitration within 30 days after receipt of notice from the attorney, which the Court found here, shall be deemed a waiver of the client's right to arbitration under the provisions of this article. (Bus. & Prof. Code, § 6201(a).)

Moreover, Stowasser does not show that the Court lacked fundamental jurisdiction over the action.

ORDER (PROPOSED)

Stowasser's motion for reconsideration and motion to vacate the Court's January 22, 2026, order is denied.

2 Available online at:
https://appellatecases.courtinfo.ca.gov/search/case/dockets.cfm?dist=0&doc_id=3158297&doc_no=S296272&request_token=NiIwLSEnPkW5WzBdSSFdVExJUEg0UDxTKiM%2BTz1TUCAgCg%3D%3D.